THE CLIMATE RESILIENCE FUNDING ACT

As amended by the Senate, 3 May 2025

Consolidated Laws of the State of Arden — Environmental Protection Law, Chapter 7 (Air Regulation and Protection), Part J.

Enacting clause

Be it enacted by the Senate and House of Representatives of the State of Arden: This Act shall take effect on 1 September 2025. The charges imposed by section 7-020 shall be assessed beginning 1 June 2026.

Section 7-017 Purpose

The purpose of this Act is to establish funding mechanisms to support climate mitigation and adaptation projects within the State of Arden and to fund repairs made necessary by climate impacts. This Act creates the Arden Resilience Fund to provide dedicated revenue for repairing damage from climate change impacts and for climate adaptation projects essential to protect the health, safety and welfare of Arden residents from climate impacts, including but not limited to sea level rise, hurricanes, flooding and other climate-related hazards.

Section 7-018 Legislative Findings

The Legislature finds that:

(a) Climate change poses an urgent and significant threat to the State of Arden, its residents, infrastructure, economy and natural resources;

(b) The State of Arden is particularly vulnerable to climate impacts by reason of its extensive coastline, including the offshore islands, and its flood-prone interior regions, which have experienced unprecedented flood damage in recent years;

(c) The State of Arden is further prone to extreme weather events caused or exacerbated by climate change, including hurricanes and flooding, which have caused billions of dollars in damage, demonstrating the urgent need for adaptive infrastructure;

(d) Climate change is primarily caused by human activities, particularly the emission of greenhouse gases from the combustion of fossil fuels, and it is imperative that the State adapt and respond to the impacts of climate change while moving to renewable alternatives;

(e) The costs of climate adaptation, mitigation and repair should be borne primarily by those entities that profit from fossil fuel sales within the State, under the polluter pays principle;

(f) Those persons within the State having the financial ability and the desire to benefit from the State's natural resources and beauty despite the known risks of climate change should also bear some portion of the burdens of adapting and responding to climate change impacts.

Section 7-019 Definitions (other)

(a) "Affected Property" means real property valued at over $500,000 on the most recent tax year assessment and located in an Endangerment Zone.

(b) "Board" means the Arden Environmental Quality Board.

(c) "CO2E" means carbon dioxide equivalent, a metric used to compare the warming potential of different greenhouse gases to carbon dioxide, as defined in regulations promulgated by the Board.

(d) "Endangerment Zones" means areas located within one mile of the coast of the State of Arden, on the offshore islands, or in a high-risk Flood Area as defined on the Board's flood area maps.

(e) "Fossil Fuel Products" means coal, natural gas, and oil or derivatives of oil such as gasoline and diesel fuel.

(f) "Greenhouse gases" means carbon dioxide, methane, nitrous oxide and other gases emitted into the air from the combustion of Fossil Fuel Products that contribute to climate change, as identified by the Board.

(g) "Major Renovation" means any improvement project costing in excess of 5% of the total property value on the most recent tax year assessment.

(h) "ARF" means the Arden Resilience Fund established under this Act.

Section 7-019

(i) "Assessment Year" means the calendar year in which an instalment of the Producer Assessment falls due.

(j) "Combustion" means the oxidation of a Fossil Fuel Product for the release of energy, whether in a stationary or a mobile source, and whether or not within the State.

(k) "Flood Area" means an area designated Flood Risk Area 1 through 4 on the maps maintained by the Board under section 7-022(h).

(l) "Gross Revenue" means revenue recognised in accordance with generally accepted accounting principles, before any deduction for cost of goods sold, taxes, rebates or allowances, and without regard to whether the revenue is received in the State.

(m) "In-State Sale" means a sale in which title to a Fossil Fuel Product passes to the purchaser at a location within the State, irrespective of where the product was extracted, refined, stored or ordered, and irrespective of the residence of either party.

(n) "Person" includes a natural person, corporation, partnership, limited liability company, trust, joint venture, association, and any agency or instrumentality of this or another State.

(o) "Renovation" means any alteration, addition or improvement to a structure requiring a permit under the building code of the municipality in which the structure is located.

Section 7-019(k) Producers

"Producers" means any domestic company that:

(i) derives the majority of its revenue from the sale of Fossil Fuel Products;

(ii) has at least $1,000,000,000 annually of gross revenues from the sale of Fossil Fuel Products; and

(iii) at least 1% of its total gross revenue from sales of Fossil Fuel Products occurs in the State of Arden.

Section 7-020 Producer Charges

Effective 1 June 2026, all Producers are subject to the charges imposed by this section. A one-time assessment shall be calculated from the total CO2E produced by Fossil Fuel Products sold by any entity meeting the definition of a Producer under this Act as of the end of 2025.

(a) This assessment shall be based on the pro-rata sales of Fossil Fuel Products in the State between June 2020 and June 2025 (the Producer Assessment).

Section 7-020(1)(b)

[No provision.]

(c) This total Producer Assessment shall be established so as to create a fund of $20,000,000,000 total, calculated in a manner consistent with this Act.

(d) The Producer Assessment payable by each Producer may be paid in up to five annual instalments beginning in 2026, the total of all instalments equalling the full Producer Assessment.

(2) A 0.5% charge on gross revenues of the sale of any Fossil Fuel Products in the State of Arden in each year after 2025, calculated from 1 June of the prior year to 31 May of the current year (the Producer Revenue Charge).

Section 7-020(3)

(a) Every Producer shall keep, for not less than seven years, records sufficient to establish its Gross Revenue, its Gross

Revenue from the sale of Fossil Fuel Products, and its In-State Sales of Fossil Fuel Products, together with the product class of each such sale.

(b) The Board may require a Producer to file a statement, verified by an officer, of the matters described in paragraph (a). A statement so filed is not a public record to the extent that it discloses the Producer's Gross Revenue.

(c) The Board, or the Department of Revenue at the Board's request, may examine the records of a Producer for the purpose of verifying a statement filed under paragraph (b). An examination shall be conducted at the Producer's principal place of business or at such other place as the parties agree.

(d) A Person who fails to keep or to produce records as required by this subsection is liable to a civil penalty of not more than fifty thousand dollars for each year in respect of which the failure occurs.

Section 7-020(4)

(a) An amount payable under this section that is not paid when due bears interest at the rate prescribed for delinquent taxes under the Revenue Law of this State.

(b) The Board shall certify an unpaid amount to the Attorney General, who may bring an action for its recovery in the name of the State in any court of competent jurisdiction.

(c) An amount payable under this section is not a lien upon the real property of the Producer except upon the entry of judgment.

(d) A Producer aggrieved by a determination of the Board under this section may, within thirty days of service of the determination, request a hearing before the Board. The Board shall render a written determination within ninety days of the hearing. A Producer aggrieved by that determination may seek review in the district court for the county in which it has its principal place of business in the State or, if it has none, in the district court for the county in which the seat of government is situated.

Section 7-021 Property Fee

(a) A person purchasing Affected Property after the effective date of this Act shall pay to the State a fee equal to 1% of the purchase price.

(b) An owner of Affected Property who undertakes a Major Renovation after the effective date of this Act shall pay to the State a fee equal to 2% of the total cost of the renovation.

Section 7-021(c)

(c) The fee imposed by subsection (a) is payable by the purchaser at the time the instrument of conveyance is presented for recording, and no instrument of conveyance of Affected Property shall be accepted for recording unless the fee has been paid or a statement of exemption filed.

(d) The fee imposed by subsection (b) is payable by the owner within sixty days of the issue of the permit for the Renovation.

(e) No fee is payable under this section in respect of:

(1) a conveyance to or from a governmental body;

(2) a conveyance by devise, bequest or intestate succession, or between spouses, or in settlement of a marital estate;

(3) a conveyance in lieu of foreclosure, or by a mortgagee in possession;

(4) a Renovation undertaken to repair damage from an event designated by the Administrator under section 7-022(d);

(5) a Renovation undertaken to comply with an order of a building official.

(f) The Department of Revenue shall administer this section and may prescribe forms and require such information as is necessary to determine whether a fee is payable.

Section 7-022 Administration and Use of ARF

(a) The ARF shall be administered by an Administrator appointed by the Governor of the State of Arden.

(b) The Administrator shall accept proposals for climate adaptation projects and for the repair of damage from climate change impacts.

(c) Municipalities, counties, citizens and organisations may propose adaptation projects designed to adapt to climate-related impacts, such as barrier walls, breakwaters, levees, coastal restoration, flood protection systems or other measures to help minimise damage in Arden from climate change impacts.

(d) Municipalities, counties, citizens and organisations may submit evidence of costs to repair damage from climate change impacts after the occurrence of a climate change event so designated by the Administrator.

(e) The Administrator shall award funds on the basis of (1) effectiveness in addressing repair needs or in reducing risk to Arden communities and infrastructure; (2) geographic distribution, prioritising areas that have suffered documented climate damage or are at highest risk, including Endangerment Zones; and (3) a cost-benefit analysis demonstrating efficient use of resources.

(h) The Board shall promulgate regulations to carry out this section by no later than 1 April 2026. Such regulations shall include, without limitation, criteria and procedures for determining when a climate impact has occurred, determining which projects or repair costs will be covered by the ARF, and challenges to any determination made under this Act.

> (g) All fees collected under sections 7-020 and 7-021 shall be deposited into the ARF and used exclusively for the purposes set forth in this Act.

Section 7-022(i)

(i) The Administrator shall report annually to the Governor and to the presiding officer of each chamber, stating for the year: the amounts received under sections 7-020 and 7-021 separately; the amounts awarded, by class of project and by county; the amounts committed but not disbursed; and the balance held. The report shall identify each award exceeding one million dollars, the recipient, and the basis on which the award was made under subsection (e).

(j) The Fund is subject to audit by the Auditor of the State in the same manner as an appropriated fund. The Auditor shall report on whether awards were made in accordance with the criteria in subsection (e) and whether any amount was applied to a purpose outside the State.

(k) The Administrator shall not be a Person who, within the two years preceding appointment, held an office or employment with a Producer or with an applicant for an award, and shall not, within two years after leaving office, accept an office or employment with a recipient of an award.

Section 7-023 Severability

If any provision of this Act is held invalid, the remainder of the Act shall not be affected thereby.